

Behavioural economics



Economists often think of consumers and firms as rational, in the sense that they choose actions that maximize benefits over costs, but observation of people's choices shows this is far from the way people actually behave. The new branch of behavioural economics studies these quirks.

For example, standard economics posits that people have a consistent attitude to risk – often they are risk averse, tending to prefer certain safe outcomes to riskier but more profitable ones. Behavioural economics has shown that people behave differently when facing potential gains or losses – with gains they seem risk-averse, but facing loss they appear risk loving, taking on risk to avoid potential losses. It seems that people hate losing a certain amount more than they like to gain it. One implication of this is the 'endowment effect': people place a higher value on a car that they already own than one they see in

the showroom. Rational economic man would have a single valuation of the car, regardless of whether he owned it.